

25NWCV03853 25NWCV03853

County: los-angeles

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CREDITORS

ADJUSTMENT BUREAU, INC. v. BREADBOX CORPORATION

CASE NO.: 25NWCV03853

HEARING: 08/27/2026 @ 9:30 AM

#13

TENTATIVE ORDER

Plaintiff Creditors Adjustment Bureau, Inc.'s motion to vacate default judgment is DENIED.

Moving party to give notice.

Plaintiff Creditors Adjustment Bureau, Inc. (Plaintiff) moves to vacate the default judgment entered in favor of it and requests a new judgment.

Background

On October 30, 2025, Plaintiff filed this breach of contract again against Defendant Breadbox Corporation dba Melrose Baking Co. adba Melrose Baking Co adba Melrose Baking (Defendant) and Does 1 through 10. The complaint alleges Plaintiff's assignor State Compensation Insurance Fund (Plaintiff's Assignor) and Defendant entered into a written agreement in which Plaintiff's Assignor agreed to provide workers' compensation policy insurance

to Defendant. (Complaint, ¶ 11.) The complaint alleges Defendant breached terms in the policy requiring it to provide access to records and payrolls for audits. (Complaint, ¶ 14.) The complaint asserts a single cause of action for breach of contract.

On January 6, 2026, Plaintiff filed a Request for Entry of Default. On the same date, Default was entered as to Defendant.

On March 23, 2026, the Court entered Default Judgment as to Defendant.

Legal Standard

Under Code of Civil Procedure section 663, “[a] judgment or decree, when based upon a decision by the court, or the special verdict of a jury, may, upon motion of the party aggrieved, be set aside and vacated by the same court, and another and different judgment entered, for either of the following causes, materially affecting the substantial rights of the party and entitling the party to a different judgment:

1. Incorrect or erroneous legal basis for the decision, not consistent with or not supported by the facts; and in such case when the judgment is set aside, the statement of decision shall be amended and corrected.

2. A judgment or decree not consistent with or not supported by the special verdict.”

Code of Civil Procedure section 657 explains the process for moving for a new trial. “The verdict may be vacated and any other decision may be modified or vacated, in whole or in part, and a new or further trial granted on all or part of the issues, on the application of the party aggrieved, for any of the following causes, materially affecting the substantial rights of such party... 5. Excessive or inadequate damages.”
(Code Civ. Proc., § 657.)

Discussion

Plaintiff moves to vacate the default judgment in favor of it on the grounds that it is based on an incorrect and erroneous understanding

of the law. This motion is unopposed.

As a preliminary matter, Plaintiff does not follow the proper procedure for relief under Code of Civil Procedure section 663. Code of Civil Procedure section 663a, subdivision (a) requires Plaintiff to file and serve a notice of intention within specific deadlines.

Moreover, Plaintiff does not show an incorrect or erroneous legal basis for the default judgment. Plaintiff argues that the Court failed to apply Insurance Code section 11670.1, subdivision (a) and therefore failed to award treble damages. However, Plaintiff does not support this contention with well-reasoned arguments or facts.

Insurance Code section 11670.1, subdivision (a), applies only "if the insurer elects to comply with the conditions set forth in subdivision (d)." (Ins. Code, § 11760.1, subd.

(a).) Subdivision (d) provides: "Upon the employer's failure to provide access after the insurer's third request during at least a 90-day period, the insurer may notify the employer through its mailing of a certified, return-receipt, document of the increased premium and the total amount of the costs incurred by the insurer for its attempts to perform an audit as described under subdivision (a)." (Ins. Code, § 11760.1, subd. (d).)

Plaintiff's declaration re Insurance Code section 11760.1 does not establish compliance with Insurance Code section 11760.1, subdivision (d). Plaintiff only provides two letters showing it requested the employer to provide access. (Gowey Decl., Exh. 1.) The August letters are demands for payments due to failure to provide access, not requests for access. (Gowey Decl., Exh. 1.) Insurance Code section 11760.1, subdivision (d) expressly becomes actionable upon three requests; here, Plaintiff only shows two requests. (Ins. Code, § 11760.1, subd.

(d).) Without compliance with Insurance Code section 11760.1, subdivision (d), subdivision (a) is not triggered and there is no entitlement to treble damages.

Accordingly, Plaintiff's motion to vacate default judgment is DENIED.